

Meta Platforms, Inc.

META NASDAQ

Buy	\$588.05 ▲ 1.59%	12M Price Target \$720.00	52-Week Range \$520.26 – \$796.25	Market Cap \$1.50T
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META: AI Spend Under Fire, But Ad Engine Still Humming

WHAT HAPPENED

- Stock bounced 1.6% today after yesterday's 3.4% drop — classic dead-cat bounce or real dip-buying? I lean dip-buying, because the news flow is actually constructive: Wall Street analysts are still calling META the top upside pick in mega-cap tech per that Stocktwits piece, even though retail prefers GOOGL.
- Two things are pressuring the stock though: (1) Meta launched a \$1B fund specifically to smooth over community pushback on AI data centers — that's a "we have a problem" signal, and (2) they nuked 756k Australian teen accounts as regulators tighten the screws on youth safety. Both cost money and hint at more compliance drag coming.

WHY IT MATTERS

Here's what I think is really going on: META is stuck at 25% of its 52-week range (\$588 vs a \$796 high) because the market can't decide if the massive AI capex is genius or reckless. The \$1B community fund for data centers tells you the physical AI buildout is hitting real-world friction — zoning fights, water usage complaints, power grid concerns — and that could slow their AI roadmap by quarters, not years. But here's the flip side nobody's pricing in: if the Trump administration's AI infrastructure push (which favors domestic buildout and streamlined permitting) actually delivers, META's early capex bet becomes a moat that smaller competitors literally can't replicate. The insider selling from COO Olivan is small and looks like planned 10b5-1 stuff, not a red flag — but the bearish options flow with unusual puts at \$612-\$615 tells me institutions are hedging near-term downside into September.

POLICY & POLITICAL WATCH

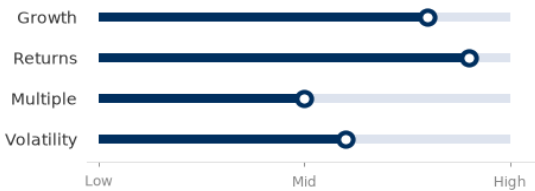
Two policy threads matter right now: First, the Kids Online Safety Act (KOSA) framework is back in Congressional discussion, and the Australian teen account purge is basically META preemptively getting ahead of it — if KOSA passes with teeth, it's a compliance cost headwind but also a moat because smaller platforms can't afford the infrastructure. Second, watch the AI executive orders around data center permitting and power access — the administration has been pro-buildout, which directly helps META's \$60B+ annual capex plan by cutting red tape. Antitrust is the wild card: the FTC's Instagram/WhatsApp divestiture case is still grinding, and any adverse ruling in the next 6 months would be a real gut-punch.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$588.05
12M Price Target	\$720.00
Upside / (Downside)	+22.4%
Market Cap	\$1.50T
FY2026E Revenue	\$202M
FY2027E Revenue	\$232M
FY2026E EPS	\$27.50
FY2027E EPS	\$32.00
Fwd P/E	21.4x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$630.00	\$600.00	\$555.00
6 Months	\$720.00	\$650.00	\$520.00
1 Year	\$800.00	\$720.00	\$500.00
2 Years	\$950.00	\$820.00	\$480.00
5 Years	\$1400.00	\$1050.00	\$550.00
10 Years	\$2200.00	\$1500.00	\$600.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Communication Services (+1.09%) and Tech (+0.98% today, +2.91% for the week) are leading — money is flowing back into mega-cap tech after last week's rate scare. Real Estate leading is interesting — likely a bet on data center REITs benefiting from the AI buildout.

COOLING OFF: Financials are lagging (+0.34%), suggesting rate cut expectations are cooling and the "reflation" trade is pausing.

ROTATION WATCH: Money is rotating INTO AI beneficiaries and OUT of defensive rate-sensitive names. The fact that Real Estate and Tech are both up tells you investors are playing the AI infrastructure theme from multiple angles.

RELATED PLAY: If you like META's AI thesis but want less regulatory exposure, look at the data center REITs (EQIX, DLR) or the power infrastructure names (VST, CEG) — they win regardless of which hyperscaler dominates.

WHO'S WINNING IN THIS SPACE?

- GOOGL (Alphabet): Retail's favorite for next 12 months per Stocktwits — search resilience plus Gemini traction, and less regulatory heat than META right now.
- NVDA (Nvidia): The \$6T prediction from Motley Fool is hype, but the underlying signal is real — every dollar META spends on AI capex flows through Nvidia's income statement.

META CONTEXT: META is lagging the mega-cap AI cohort right now, sitting at just 25% of its 52-week range while NVDA and MSFT are near highs. That's either a warning or an opportunity — I lean opportunity because the ad business fundamentals haven't cracked, only sentiment has.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

Position Size: 4-6% of portfolio

Entry Points: \$570-585 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Ad revenue growth drops below 8% YoY or forced AI capex writedown

Hedging: Small put spread ~\$560 or pair with a lower-multiple mega cap like GOOGL